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In a desperate hunt for a White Knight, Satyam's fate hangs in an unequal balance



**NEW SATYAM BOARD MEMBERS
C. ACHUTHAN, DEEPAK PAREKH
AND KIRAN KARNIK**

If the scam involving his cooking of the company books was a calculated gamble, so is B. Ramalinga Raju's refusal to answer questions by interrogators. All this is adding to the uphill task the newly appointed six-member board faces in its bid to salvage Satyam, shore up its finances, save jobs and restore the damaged image of India's IT industry.

Their immediate task is to head-hunt a new CEO and CFO to provide leadership to retain clients and initiate cost-cutting. The board has put in place independent and internal auditors to assess the liquidity crisis. It has entrusted a core group drawn from the senior management to take care of the day-to-day cash transactions. The good news is that Satyam may

not face a cash crunch as the receivables shown in the books were correct and the company has managed to ensure payments from its clients. The bad news is that some clients have put the company, and indirectly its employees, on notice.

After State Farm Mutual Automobile Insurance Co in the US said it is terminating its contract, Cigna Corp, one of Satyam's biggest clients, has put the company on three-month notice. What is working against Satyam is the absence of exclusive contracts which can push customers to approach rival IT firms.

The current talk is about the sale of the company or any of its divisions. "Satyam has enormous fixed assets, human resources and technology

assets," points out board member Tarun Das. However, at this stage, it is impossible for anyone to put a value on Satyam or gauge the extent of its liabilities. The immediate solution is a White Knight. Engineering major Larsen and Toubro has shown interest in acquiring the company. Others include HCL and Tech Mahindra while Essar's Aegis has shown interest in buying out Satyam's 3,500-seat BPO business.

Meanwhile, the multiple-agency probe into Satyam affairs is looking into the financial nexus between Satyam and Maytas Infra and Maytas Properties. Andhra Pradesh Chief Minister Y.S. Rajasekhara Reddy has directed officials to list the actual extent of land held by both the Maytas companies across the state even as investigators of the economic offences wing of the CB-CID try to find out how the three arrested so far have cheated the company, gullible investors and, possibly, siphoned money out of the company. Satyam, the truth, will have to be uncovered before it prevails. **by Amarnath K. Menon**

RAJU IS REFUSING TO ANSWER QUESTIONS, A CALCULATED GAMBLE JUST LIKE HIS FRAUD.



UMESH GOSWAMI